

**SUBSTITUTE FOR
HOUSE BILL NO. 4711**

A bill to amend 1985 PA 148, entitled
"Self-service storage facility act,"
by amending section 3 (MCL 570.523), as amended by 2014 PA 61.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 3. (1) The owner of a self-service storage facility or a
2 self-contained storage unit and the heirs, personal
3 representatives, successors, and assignees of the owner have a lien
4 ~~upon~~ **on** all personal property, whether or not owned by the tenant,
5 located at the self-service storage facility or self-contained
6 storage unit for rent or other lawful charges incurred relative to
7 the storage of the personal property, including expenses necessary
8 for its preservation, or reasonably incurred in its sale ~~pursuant~~
9 ~~to~~ **under** this act. The lien attaches on the date the personal



1 property arrives at the self-service storage facility or self-
2 contained storage unit or the date a rental agreement for the
3 storage space is signed by the tenant, whichever is earlier.

4 (2) The priority of a lien under this act is as provided in
5 section 5(14).

6 (3) If a tenant defaults on a rental agreement, the owner
7 shall give notice to all holders of a perfected security interest
8 under the uniform commercial code, 1962 PA 174, MCL 440.1101 to
9 ~~440.11102,~~ **440.9994**, in which the tenant is named as a debtor.

10 (4) At the commencement of a rental agreement for storage
11 space at a self-service storage facility or in a self-contained
12 storage unit, the owner shall provide the tenant with the following
13 written notice:

14 "NOTICE: If you fail to make your required payments, you will
15 have to vacate the unit or your property may later be sold at a
16 public sale. Before the sale, you will be notified by first-class
17 mail or by electronic mail of the amount due. The notice will be
18 mailed to your last known address **and posted on the door of your**
19 **self-service storage facility or self-contained storage unit.** In
20 order to preserve your right to be notified, it is important that
21 you notify us in writing of any change in your mailing address.
22 Also, you should supply us with the name and address of another
23 person who can reach you if you are not at your mailing address,
24 and we will notify that person at the same time and in the same
25 manner as we notify you.".

26 (5) A rental agreement under this section may provide for a
27 limit on the value of the property stored at the **self-service**
28 **storage** facility or **self-contained storage** unit. The stated limit
29 ~~shall~~ **must** be considered the maximum value of the stored property



1 for all purposes.

2 (6) A rental agreement under this section may provide for a
3 reasonable late ~~charge~~-**fee** for failure of the tenant to timely make
4 payments for the storage space when due. A monthly late fee of
5 \$20.00 or 20% of the monthly rental amount, whichever is greater,
6 ~~shall be~~**is** considered reasonable and is not a penalty. The owner
7 of the self-service storage facility or self-contained storage unit
8 has the burden of justifying the reasonableness of any higher late
9 fee.

10 (7) A rental agreement under this section may be delivered and
11 accepted electronically, including, but not limited to, through
12 email or text message.

13 (8) If a tenant does not sign a rental agreement under this
14 section, the tenant is considered to have accepted the rental
15 agreement only if both of the following apply:

16 (a) The owner delivered the rental agreement to the tenant by
17 hand delivery, first-class mail, email, or text message.

18 (b) The tenant continues to use and make payments for the
19 self-service storage facility or self-contained storage unit for
20 not less than 30 days after delivery of the notice described in
21 subdivision (a).

22 (9) A tenant may not use a self-service storage facility or
23 self-contained storage unit after the owner has delivered a written
24 notice to the tenant by hand delivery, first-class mail, email, or
25 text message of the termination or non-renewal of the tenant's
26 rental agreement. A notice delivered under this subsection must
27 provide the tenant with not less than 15 days after delivery of the
28 notice to remove all personal property from the self-service
29 storage facility or self-contained storage unit. An owner may place



1 reasonable restrictions on a tenant's use of a self-service storage
2 facility or self-contained storage unit after delivery of a notice
3 under this subsection and during the 15-day window described in
4 this subsection, including, but not limited to, denying the tenant
5 access to the self-service storage facility or self-contained
6 storage unit except to allow the tenant to remove personal property
7 during the owner's normal business hours, as posted by the owner.

8 (10) An owner may dispose of any personal property remaining
9 in a self-service storage facility or self-contained storage unit
10 after the date provided in the notice described in subsection (9).